

institutionalized; PE excess returns (or “alpha,” see chapter 10) are now harder to find—for everyone.

Some endowments, such as those of Yale and Harvard, continue to do well in PE investments. These endowments have better ability to select good funds: they can pay (more) competitive wages and attract more qualified employees, have greater freedom, and have boards that understand and give resources to their managers to pursue PE investments. Pension plans also have more rigid investment management structures than endowments. In pension plans, salary and rank of employees often depend more on how much money they are responsible for managing, rather than on how much return they generate (see chapter 1). Some pension plan managers are enamored with PE and are essentially “captured” by their external managers—as Loftis wonders, how does the sexy model sitting next to you at dinner and the trendy nightclub atmosphere help in evaluating a PE fund? Some pension managers, like Borden, quit and go work for PE firms. Asset owners sometimes have investment aims other than maximizing return for given levels of risk. Many public pension plans and sovereign wealth funds, for example, have mandates constraining them to overweight “local” investments and lose money as a result.⁴⁶

Banks can afford to earn low returns in PE because they earn plenty of other fees from PE firms. The division in a bank that invests in PE builds relationships and generates business for the bank’s other divisions. So although banks might not make money from PE investments, they earn money from equity issuance, debt underwriting, company restructuring, merger and acquisitions, advisory work, and so on.⁴⁷

4.5. WHY INVESTORS ARE DUPED

Swensen advises:⁴⁸

In the absence of truly superior fund-selection skills (or extraordinary luck), investors should stay far, far away from private equity investments.

Obviously, Swensen’s wisdom has not been heeded, and the average investor has underperformed in PE.

Why are investors misinformed?

⁴⁶ Hochberg and Rauh (2013) find that public pension funds generate returns 2% to 4% lower on their own in-state investments than on similar out-of-state investments, or investments made in their state by out-of-state investors. Bernstein, Lerner, and Schoar (2013) show that sovereign wealth funds do the same thing—they invest domestically and earn lower returns than in international private equity. For both sets of institutions, the effect is more pronounced when there is more political interference.

⁴⁷ See Fang, Ivashina, and Lerner (2013).

⁴⁸ Economist, “Bain or Blessing,” Jan. 28, 2012.